Executives

Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board
Don Roberto Servitje Sendra - Former Director
Guillermo Jorge Quiroz Abed - Chief Administration & Financial Officer and Member of Advisory Board

Analysts

José Juan Yordán - Research Analyst
Luis Miranda Valenzuela - Head of Food and Beverage
Miguel Mayorga -
Nikolaj Lippmann - Equity Analyst
Pedro Leduc - Senior Analyst
Unknown Analyst -

Presentation

Operator

Good morning, everyone, and welcome to Grupo Bimbo's Fourth Quarter and Full Year 2011 Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com/ir. Before we begin, I would like to remind you that this call is being recorded and that information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements. I will now turn the call over to Mr. Daniel Servitje, Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull

Good morning, everyone, and thank you for joining us this morning. As usual, we will begin with a review of developments and performance in this quarter, as well as some comments on the financial position from Guillermo Quiroz, our CFO. Then we will be happy to take any questions you may have.

Let me start with a general comment about our results. This was a challenging year, and we did not achieve our expected results. While volume growth was healthy and we saw significant top line contribution from acquisitions, there was also the expected margin dilution resulting from the Sara Lee operations, a high level of continued investment in expansion and an extraordinary charge that impacted our operating margin performance. Our results in the period also reflected the impact of the consolidation of independent distributors or independent operators known as IOs in the United States, which actually increased top line performance. Guillermo will walk you through the details there, although if you have followed Sara Lee or other companies in the sector, you're probably quite familiar already with IO consolidation rules. What I want to emphasize is that we think the structure works and perhaps more importantly, that this accounting consolidation does not reflect any operational charges -- changes on the ground. I do want to clarify the Brazil situation a bit, before going into the discussion of the quarter. Keep in mind, we started making significant investments there about 4 years ago. And in that time, we have already doubled the size of our business. We acquired or opened 5 new plants to expand our manufacturing footprint. The last one, we opened it last week in Brasilia where we held our board

meeting. We have added hundreds of new distribution routes in order to further penetrate the market and broaden the product portfolio to include new categories and segments. All of these initiatives to increase scale and scope are part of the long term strategy in Brazil, which we see as one of our most exciting and dynamic markets. However we now expect that our investments will take longer to mature than originally forecasted. Consequently, we decided to write down certain intangible assets to reflect the revised evaluation. Although we remain confident about the long-term ROI in this market.

With that, let's move on to performance in the quarter. Net sales rose almost 37% over last year with healthy organic growth in every operation. Raw material costs were still higher than in the year-ago period but the impact was only evident in Mexico, where devaluation of the peso impacted dollar denominated input.

At the operating level, 3 factors contributed to the 1.4 percentage point contraction in the margin. First, the expected dilutive effect of the Sara Lee acquisitions. Second, our continued investments in the international operations. And third, the impairment charge I just mentioned. Looking at performance on a regional basis, healthy 14.5% growth in Mexico was mostly organic. About half was due to volume growth and half to pricing initiatives over the course of the year, indicating that our domestic market continues to enjoy a steady recovery and that our segmentation and point-of-sale execution efforts are showing good results.

Some highlights from the period includes strong volume growth in cereal bars, cookies and tortillas. We launched a number of successful products in recent months including new healthy lines of Bimbo and Barcel, in line with our efforts to enhance the nutritional profile of our portfolio. From a profitability perspective, we were able to offset a good portion of gross margin pressure with better absorption of fixed costs at the operating level, as well as greater distribution efficiencies which limited the margin contraction significantly.

In the United States, sales rose almost 60% over last year, while about half of that was attributable to the integration of the Sara Lee operations. Organic performance contributed around 13% driven by favorable FX rates and pricing initiatives over the course of the year. I should point out that while volumes were still weaker than in the year-ago period and consumer confidence remains low, the decline in volume has slowed considerably and some indicators, such as unemployment, point to initial signs of recovery.

The consolidation of IOs was a third factor contributing to U.S. sales growth in the quarter. Strong performance at the top line was able to offset the impact on the gross margin of 30%, plus [ph] rise in certain costs such as flour and fuel. On the operating line, however, integration related expenses, the higher expense structure of the new business itself and ongoing investments in white space expansion led to an expected dilution in the operating margin.

Moving on to Latin America. About 2/3 of the strong 45% growth in the quarter was attributable to organic gains reflecting volume growth and some support from pricing initiatives undertaken earlier in the year. The integration of Fargo in Argentina clearly strengthened the scale of our operation in the region. And we continue to add new clients in the period as part of our ongoing market expansion and penetration efforts. It is difficult to make a clean comparison on the operating side given the extraordinary charges both this year and last year as outlined in the press release. But we registered 3.5 percentage point improvement in the operating margin. We only had one month of results to report in Iberia. And we are on the ground there moving forward on integration. I should also note that Fargo in Argentina is progressing

according to plan while in the United States we have put in the leadership structure and national sales team operating in 12 regional territories. The focused brand and category management approach that better serves a broad range of customers and consumers while centralized support functions are eliminating redundancies and capturing efficiency.

I remain confident about achieving our original 3-year gross synergy target of $150 million based on the opportunities we have identified.

As far as the divestitures in the U.S. we continue to move forward with that process and hope to come back to you in the coming weeks with an update.

Before I turn the call over to Guillermo let me share with you our outlook for 2012. We believe volumes will continue to strengthen over the course of the year, while raw material prices are likely to remain volatile. In terms of our performance, there are some key things to consider. First, the integration of the Sara Lee operations on 2 continents which will enhance revenue and operating income, but will continue to be dilutive on a margin basis. And secondly, this will be a year of significant investment in further extending the market penetration of international operations, achieving synergies in the United States and furthering our strategy of being a low cost producer.

In fact, the CapEx budget for Grupo Bimbo is the largest in our history, almost $780 million for 2012 compared to about $400 million in 2011. Much of that will be allocated to the manufacturing base, but also investments and logistics and systems will happen across the board. These investments are part of the broader strategy to advance towards our 2015 book vision with 4 strategic initiatives underway. Specifically, these are the health, nutrition and wellness initiative, where we're looking to continue to improve the nutritional profile of our portfolio. Two, having a low-cost supply chain where we're focusing on areas such as global and regional procurement opportunities and the manufacturing footprint of the whole group. Three, the leadership and management model where we are aligning objectives, processes and indicators to enhance accountability and empowerment. And lastly, talent development, we're looking at expanding and diversifying the leadership bench to drive profitability and support the long-term growth of the company. These are all global strategies, but they are being planned and executed locally, with specific benchmarks for each operation.

One final note. We are pleased to be included on the Mexican Bolsa's new sustainability Index. Numerous companies underwent a rigorous review process using international, social, environmental and governance performance criteria established by the Bolsa's independent rating group. Of those who were ultimately certified, only 23 have also met the float and volume criteria for eligibility. For investors who share our philosophy that doing well and doing good are not mutually exclusive and that sustainable operations are the only way to create a long-term value, this index provides a good way to participate in Grupo Bimbo's growth. This concludes my remarks this morning. So, Guillermo, I will now hand it over to you.

Guillermo Jorge Quiroz Abed
Thank you, Daniel. I do have a list of things to cover this morning. First, let me touch on the consolidation of independent operators in the U.S. Under U.S. and Mexican GAAP as well as IFRS rules, which we are now adopting, IOs, that have been organized in the sense of legal entities are subject to the viable interest entity accounting rules.

Prior to 2011, the consolidation of BBU's IOs was not required because the impact was immaterial, given that most of them were not organized as legal entities. That changed in 2011 for 2 reasons. First, an increasing number of our IOs were beginning to restructure themselves as legal entities. From about 500 at the start of 2010 to almost 1500 at the end of 2011. Then the Sara Lee acquisition almost doubled the number of IOs structured as legal entities. Having clearly past the materiality level, we are now consolidating these IOs which are reflected across the entire P&L statement except in the net majority income line as all the effect is finally offset in the non-consolidating instance line. Well it was noted on the press release, the number you see for the fourth quarter cover a full year's worth of IOs consolidation. But going forward, we'll be doing these on a quarterly basis.

I also want to elaborate on the debt restructuring and our financial position. As you know, we just issued new debt in early 2012 including $800 million of notes in the U.S. institutional market. The offer was more than 7x of what we subscribed with demand for almost $6 billion in total and more than 300 investors responding. In Mexico, we also issued MXN 5 billion of domestic bonds while demand came in at MXN 7.5 billion.

We were pleased to see such a strong response in both markets, reflecting our tract in debt markets. These transactions successfully extended maturities by almost 2 years with a very comfortable amortization schedule starting in 2014. The expected effect is a somewhat higher cost of debt up about 1% sequentially. The fact that we undertook the debt, the debt restructuring and prepayment after the close a the fourth quarter and that we didn't register of full year of EBITDA for the acquired operations means that our leverage ratios look a bit skewed for December 31. Once you take those 2 factors into account, our debt to EBITDA numbers was approximately 2.8x. We have no need to take on further debt at this point and are committed to reaching our comfort zone of 1.5x to 2x of EBITDA in the next couple of years.

The last point I want to make is that starting in the first quarter of this year, we will report according to IFRS's standards. We expect no material impact and we'll detail any variations in the next earnings release. With that, I conclude my remarks for this morning. So Dalia, please go ahead with questions.

Question and Answer

Operator
[Operator Instructions] Your first question is from José Yordán with Deutsche Bank.

José Juan Yordán
Guillermo, I have one question about your comment right now about IFRS. I understand that with IFRS, you do have to include the PTU above the operating line. I guess, is that going to be -- I'm assuming that will be the same with Grupo Bimbo and how much of an impact do you think that will have on your consolidated statements? I mean is that only a Mexico issue or does that exist in other countries where you operate?

Guillermo Jorge Quiroz Abed
The answer is yes. The profit-sharing charge will be an operating one starting on this first quarter. We will restate 2011 to make a comparisons this year and also the only country where we have a significant impact is Mexico, also Venezuela has also much smaller impact.

Operator
The next question is from Nikolaj Lippmann from Morgan Stanley.

Nikolaj Lippmann
Two questions, if I may. One, is if you can give bit of an update on pricing in the U.S.? Are you seeing the discounts, is the environment stable there? Two, are you seeing any additional business from the bankruptcy at Hostess, are you seeing clients would potentially prefer to work with a more stable supplier and not having any kind of risk on their working capital.

Daniel Javier Servitje Montull
Nikolaj, yes. Let me tell you that on the pricing front, I would say that the environment is now more stable and we're not foreseeing big changes on either sign, although, our focus will be, really, as we have mentioned -- as we have said previously that we will cater to the market requirements city-by-city. So there might be needs to factor those particularities in each market and we might either have a stronger promotional path or a lower promotional path as we see fit in order to do our best in each market. On the other question, I would say that it's still too early to tell, we are focusing on really trying to do our best in this market and we deserve the customers with our brands in the best manner possible. So we're not seeing as of now any changes and we would see what happens in their particular processes as time allows.

Guillermo Jorge Quiroz Abed
Excuse me. Just before going to the next question, I would like to add some to Jose's previous question. I forgot to mention that the impact that we estimate from the profit-sharing reclassification is about 0.4% of sales.

Operator
Your next question is from Miguel Mayorga from GBM.

Miguel Mayorga
Perspective regarding profitability in the LatAm business going forward? If you could give us any comments regarding grant catching [ph] positions regarding REIT?

Daniel Javier Servitje Montull
Could you ask your first question again please, Miguel?

Miguel Mayorga
If you could give us your perspective regarding profitability in the LatAm business in OLA?

Daniel Javier Servitje Montull
Yes. Well, we have been touring the region over the past 2 weeks. We actually had our first Board of Directors meeting in Brazil this past week as I mentioned. And I would say that we are very upbeat on the prospective of the region for the company. I have to mention though that we're investing very heavily in most of the markets as we have been growing our volumes and expanding our decision networks. So on the profitability front, we're having a negative numbers and we continue -- we expect to see them improve in the coming quarters definitely, but not necessarily to the levels that we see in more mature operations, so. We will see a growing trend or improving trend on the margin side of the story in Latin America. But our focus will be really to expand our distribution footprint and our manufacturing capabilities there as we

embark in a path to really create the big business for Grupo Bimbo in the long run.

Guillermo Jorge Quiroz Abed
On the commodity side, what we've done is basically have a range of months in which we cover our hedging and it's basically anywhere from 4 to 9 months in most of the commodity. Our goal there is really not to speculate but really to have a view on how our cost will be impacted and then see how we can respond on the marketplace with these new costs as they become effective.

Operator
Your next question is from Pedro Leduc from JPMorgan.

Pedro Leduc
This is Pedro. Our question comes in regards to Mexico, the margin contraction pace. 80 basis points we saw was some of the smallest seen year-to-date and at the same time we saw the fastest pace of top line growth. Now we wonder what your outlook is going forward? If you already passed 2 of the more expensive grains and then how competition is faring in terms of pricing there in Mexico?

Daniel Javier Servitje Montull
Sorry, Pedro but can you repeat your question, slower please?

Pedro Leduc
Sure. My question is regarding the outlook for the Mexican operations. Now in the fourth quarter we saw the smallest pace of margin decline it was like 80 basis points and at the same time we saw the fastest pace of top line growth in the year. Now we wonder what your outlook is both in terms of top line and any profitability for the year?

Daniel Javier Servitje Montull
Yes. Well, I would say that it's -- it was a good performance on revenues as you pointed out, definitely. And we're quite happy with the results that we're seeing on the volume side as well. On the margin side, it was compressed a little bit because we still had some commodities that actually affected us in the last quarter, not necessarily so in wheat flour but in many other commodities as well, especially on the Barcel and the Colina business. What we are seeing our outlook in the year is going to be as I said, we expect a more stable environment. It's going to be tougher on the first quarter and gradually it will ease up this comparison, but over the year we expect that this is going to be less significant. So that's our view in Mexico. We're hoping for a good year here in Mexico overall.

Operator
Next question is from Gaburo Capos [ph] OFI.

Unknown Analyst
My question is regarding the CapEx level. Could you just please elaborate on that, It seems it's a huge amount for me and I would like to have more comment on that.

[Technical Difficulty]

Operator
Your next question is from Gaburo Cambo Buraka [ph] from OFI.

Unknown Analyst
I just have a quick question on the CapEx. The amount seems huge for me, $9 billion or $7 billion, I didn't catch it, really. Can you just elaborate on that?

Don Roberto Servitje Sendra
This is Robert Servitje. The amount that was mentioned by Guillermo is the budget for the CapEx for this year 2012, it's $780 million. And I would like -- I'm happy that you're bringing that up. We have been seeing a very strong cash flow. And as Daniel mentioned, one of our core strategy for the short to near-term is to strengthen our low manufacturing capabilities all across the board, particularly in the U.S. And given this strengthened our cash flow, we decided to speed up those investments this year while deleveraging at a very reasonable and very good pace. So that's pretty much it but I wanted to point out also what is behind this increase in our budgeted CapEx.

Operator
Your next question is from Cruz [indiscernible], CIAA.

Unknown Analyst
Follow-up on the CapEx a little further. What regions will the CapEx be directed to. I understand it will be mostly LatAm, and more U.S. But can you give like a percentage breakdown? And second, will CapEx come off or reduce after 2012 from this high-level? Or should we expect it to be flat going forward?

Daniel Javier Servitje Montull
Yes. Well we did the -- we closed the acquisition of the Sara Lee business a while ago. We are committing to invest $1 billion in the coming 4 to 5 years in the U.S. as a result of this new integration in order to renew the manufacturing footprint of our business in the U.S. So a good portion of the investment will go to the U.S. as well as to Mexico and Latin America. Let me tell you that in most of the businesses in the divisions of the company, we're studying how we can lower significantly our costs, with a I would say medium to long-term horizon. And we will be investing in doing so as we authorize projects that meet our return on investment criteria. I would expect that this investment trend will remain around this level in the coming 3 to 4 years as a result of this emphasis in revisiting our asset strategy.

Operator
We have a follow-up question from José Yordán from Deutsche Bank.

José Juan Yordán
I guess not to be leveled too much in the question on CapEx. But what I understand you're saying that the objectives you had of spending money over 4 years stays the same but you're accelerating based on the recent improvements in cash flows. But are you -- were you just saying that the CapEx will be close to $800 million for each of the next 4 years? Or is this going to be a one-time issue? And then I have a follow-up on some of the issues with Hostess.

Daniel Javier Servitje Montull
We will be -- we're going around this path in the coming 3 to 4 years.

José Juan Yordán

Okay. And then -- but I guess I'm a little more -- I'm wondering how you can deleverage down the 2x, spending $800 million versus $500 million which has been the going rate recently and which I think was on most people's calculations for spending. I mean, is there change in the synergies that you expect to gain from the Sara Lee businesses? I don't think we ever heard sort of synergy estimates on the Spain side. Obviously we're always focused on the U.S. So any color you can give us here, about update on the synergies and whether you're still comfortable with getting to 2x leverage by the end of 2013? And how we get there would be helpful.

Don Roberto Servitje Sendra
We will take -- this is Roberto. I'll take at least part of the question. Yes, we see this kind of CapEx, capital expenditure for the next 4 to 5 years, very large capital expenditure. But let me point out and let me clarify some issues as well. According to our strategy, the sooner and the most and the largest that we invest in our manufacturing platform, the sooner we will capture the synergy. So that's one effect. We have, as you all know, very enthusiastic about all the synergy potential in the United States that will derive in a larger EBITDA in the short to medium-term. And we have been stressing out a lot of scenarios including, of course, this CapEx which increased capital expenditures and we are fortunate to achieve, we think, we can achieve a 1.5x to 2x debt to EBITDA. May be in a larger period of time, time frame, than originally planned, but it will be up to 2 years to 2x of EBITDA. We have room for improving and streamlining our capabilities in the manufacturing side while delivering our commitment to deleveraging the following 24 months.

Daniel Javier Servitje Montull
On the Spain side, we're not expecting any significant synergies as we just bought an independent company and we didn't have anything on that market. Obviously, we're reviewing any opportunities on the shared services side or purchasing. But mostly, it's really a new operation for us.

Don Roberto Servitje Sendra
José, also this amount that we're planning as capital expenditure, it will dilute as a proportion of the entire company and as a proportion of the EBITDA across time. Right? The absolute number now, it may sound like large. We're very committed and to that, we think that the best use of our cash in the following years and that will dilute as a proportion of EBITDA as the scale [ph], et cetera, et cetera.

José Juan Yordán
And when you do your calculation of -- about deleverage target by 2 years. How much do you assume is the required investment and working capital over those years just so we know we are in the same or near the same kind of assumption?

Don Roberto Servitje Sendra
Yes. In terms of working capital we have the largest -- as you know, given the nature of our business, very demanding in terms of working capital. I think that Armando and Azul will later give you more detailed outlook on the CapEx, on the working capital for the following years. But you can assume that the working capital investment between $60 million and $80 million. Something like that.

José Juan Yordán
And then if I could follow up on some of the recent issues with the Hostess bankruptcy. I know you guys have been entering the fray there in terms of trying to block the, Hostess from reneging on their pension obligations, et cetera. I guess just to give us an update of what's happening in there and your estimate of

what the worst case scenario would be there if they're able to do this? What's the worst case on your operations, on your cash flows?

Daniel Javier Servitje Montull
José, as you know, this bankruptcy process with Hostess is a very new one. It's just starting. We really don't know what is going to happen at the end. Basically, they do have asked to a judge to be exempted for the -- from the payments of the multi-payer employer plans. But that is a completely normal, customary and also the rest of the members of the plans, which are 24 multi-payer plans where Hostess participates in are legally opposing to that authorization. It's basically we expect to -- it will take a long time. And so we really don't know what to tell you right now. The only thing we're doing is we are taking the necessary legal steps to be very, very close to the process.

José Juan Yordán
Okay. And I guess the related final question is aside from the legal battle et cetera. Have you seen any tangible, let's say, benefits from their lack of attention on the market, et cetera? Have you seen gains in market share recently as a result of, that might come from Hostess being distracted?

Guillermo Jorge Quiroz Abed
No. We'll say that they are all operating fairly normal and nothing is there to be observing in the market dynamics.

Operator
Next question is from Luis Miranda from Santander.

Luis Miranda Valenzuela
Just a follow-up question on the outlook for 2012. We saw a change in the trend in Mexico from the market that ended up being driven by volume and by prices. I want to know what your outlook is for 2012 and what could we expect in terms of pricing?

Daniel Javier Servitje Montull
Yes. Well, Luis, I would say that it's -- your question is quite similar to the one we answered before on Mexico. And we're seeing now that commodities are still at a high-level but not increasing as much in this first quarter. And related to pricing, all depends on the exchange rate basically and if it's around this level, we would probably won't have a lot of price increases. But it's still volatile and we don't know what's going to be the end of it.

Operator
Your final question is from Nikolaj Lippmann from Morgan Stanley.

Nikolaj Lippmann
In relationship to CapEx, I used to have $500 million for 2012 in my model. That number is now $780 million. Is it correct that, that is going to be the run rate for the next couple of years? So I used to have $2.2 billion in the next couple of years in CapEx, that number is now going to jump towards $3 billion. So if you could confirm that, that is sort of the correct assumption in the '12 to '15 period. And also, is that additional $800 million in investment for the same synergies or is it -- do you have a revised number for synergies that go along with this $800 million version?

Daniel Javier Servitje Montull
Yes, Nicholas. Well, let me tell you that as we outlined in the conference, one of our main initiatives is coming here is really our drive to become a low-cost operator. And we have realized that in order to become one, we need to revisit our operations and slowly [ph] have a more aggressive stance when we find opportunities. We're tackling each project one by one and reviewing its soundness. When we mentioned the investment in the U.S. of around $1 billion for the next 4 to 5 years, that's part of this strategy. And the synergies that we mentioned are related to this aspect. The opportunities are not only including our low-cost base in the U.S. but company-wide. And that's why we're hiking up our investments, our CapEx globally. And we're doing the same analysis in all the markets where we find to have opportunities. So the synergies are related to the U.S. and the investments of around $1 billion in CapEx are related to the U.S. In the coming 3 to 4 years, we expect to be around the $600 million to $800 million band of CapEx and that will be reviewed every year and we will announce every year precisely at this time what's going to be the CapEx for the next year. So that's -- this is not going to be something that's going to be there forever. We expect this band to stay in place for the next 3 to 4 years and we'll see afterwards with the new size of the company and the new opportunities that present to us what the range we'll be in after we have done this sort of renewal of manufacturing footprint, company-wide. So this is sort of our view of the upcoming 3 to 4 years.

Nikolaj Lippmann
I think Claus [ph] has a guidance in the long run of having EBIDTA margins in the U.S. markets between sort of 11% to 13%. Now considering your new CapEx, do you have a sense of where you could be? Do you have significant [Question Inaudible] decision...

Daniel Javier Servitje Montull
We don't give guidance on the long-term EBIT margin.

Operator
There are no further questions at this time.

Daniel Javier Servitje Montull
Okay. Well, thank you all for your time and interest today. And please do not hesitate to contact us with any further comments or questions you may have. And we look forward to speaking with you soon.

Operator
This concludes today's conference call. You may now disconnect.

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